

THE INVESTigator

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CRYPTO CURRENCY IN A NUTSHELL

What is Crypto Currency?

A cryptocurrency is a digital or virtual or say internet currency, that is secured by cryptography, which makes it nearly impossible to counterfeit or double-spend. Cryptocurrencies are decentralized networks based on **blockchain** technology—a distributed ledger enforced by a network of computers. A striking appeal of this technology is its security and that the block chain network cannot be hacked.

An important feature of cryptocurrencies is that they are not issued by any central authority, rendering them theoretically immune to government interference or manipulation.

Technically What is a Bitcoin: Bitcoin is a software-generated reward point - quite similar to what people get while playing video games. However, the difference is that Bitcoins are given as a prize only to those who can solve mathematical problems, which keep increasing in difficulty as the number of Bitcoins generated increases.

Nowadays, the difficulty level is so high that no person can solve it without using powerful computers. These players/competitors who generate Bitcoins (called miners) are mainly those who can afford to purchase a vast network of computing resources, which are then continuously put to work in an attempt to solve the next big problem. Once the problem is solved, they receive Bitcoins for their effort.

In April 2021, the price of Bitcoin had touched an all - time high of \$64747 and as of 30th May 2021 it is \$35330.

Why are people buying crypto currencies?

Nobody knows the answer. It is purely based on the hope that in future the crypto will fetch higher price because someone else is willing to buy at a higher price.

What is the intrinsic value of Crypto Currency?

Cryptocurrencies have no intrinsic value. They cannot generate profits and they cannot give interest like a debt product. It gives absolutely nothing and the only reason why it could have any value in the future is because somebody else believes so.

Why Crypto currencies are being compared with gold?

Crypto currencies are being compared to gold because of 2 reasons – one the limited supply (for instance only 21 million Bitcoins can be generated) and two its incapability to generate returns / profits. However, the important fact being ignored is that gold has huge intrinsic value and it is an internationally recognized precious metal. Physically, gold is used as jewellery and can be exchanged for goods across the world. Gold reserves have saved many countries during their bad times. So, comparison with gold is absolutely misguided.

Are there any advantages of these crypto currencies like Bitcoin?

Bitcoins do have some advantages over the conventional currency and gold. These currencies could be used to avoid paying commissions while trading in the forex markets. Also, it can be accessed from anywhere in the world, reducing the need to carry it physically. Since it is not controlled by any single entity, it is not easily traceable, and therefore, cannot be demonetized. **But, the risks of a sudden precipitous decline in the value of a cryptocurrency far outweigh any benefit that this form of the currency promises to give.**

What are various types of crypto currencies?

Various currencies in the market are Bitcoin, Ethereum, Dogecoin, Polygon etc.

Which are the exchanges in India where crypto currencies are traded?

There are many exchanges viz., WazirX, CoinDCX, Zebpay, Unocoin, etc.

What is the legal status?

Cryptocurrencies are unregulated but not illegal in India. RBI had barred banks from facilitating crypto transactions in 2018 but that order was quashed by the Supreme Court in 2020.

But the problem does not end with the quashing of the order. On several occasions, government has made it clear that it is not comfortable with the idea of private cryptocurrencies.

"The government does not consider crypto-currencies legal tender or coin and will take all measures to eliminate use of these crypto-assets in financing illegitimate activities or as part of the payment system," Finance Minister Nirmala Sitharaman had informed the Parliament in February 2021.

In the meantime, RBI is working full time on its own digital currency.

So, what should investors do?

"I could care less what bitcoin trades for, how it trades, why it trades, who trades it ... if you're stupid enough to buy it, you'll pay the price for it one day. I've also told people that it can trade at \$100,000 before it trades to zero. Tulip bulbs traded for \$75,000 or something like that. The only value of bitcoin is what the other guy will pay for it."

- Jamie Dimon, Chairman & CEO, J P Morgan

The readers of *The Investigator* can buy cryptos worth Rs 500 to Rs 5000 after understanding the crypto and the risk involved in it. The amount spent can fetch higher value in future or if banned in India, the amount can become zero also. Please treat the amount as if spent on buying a lottery ticket.

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